

Title Report - Underwriter - commitment should work - 1

TECHNICAL UNDERWRITING REPORT

Title Commitment Analysis & Closing Readiness Assessment

Commitment Number: 01-26006219-01T
Commitment Date: January 16, 2026 at 7:00 a.m.
Property: 675 Bunker Hill Road, Columbia, MS 39429-7832
County: Marion County, Mississippi
Underwriter: Old Republic National Title Insurance Company

1. EXECUTIVE SUMMARY

This transaction presents CRITICAL BLOCKING ISSUES that must be resolved before closing can proceed. The file currently achieves a Readiness Score of 67/100, indicating substantial work remains despite the property's otherwise favorable characteristics.

Critical Status

- BLOCKING DEFECT: Recorded deed names incorrect grantees (Christopher Lane Thornhill and Sara E. Jackson) instead of proposed buyer (Kyla B. Fortenberry)
- TITLE CHAIN DEFECT: Vested owner (Garner Tree Farm, LLC) differs from seller (Terri G. Crawley) without documented authorization
- POLICY ISSUANCE RISK: Owner's policy cannot be issued to Kyla B. Fortenberry until deed is corrected and recorded

Positive Factors

- No tax delinquencies (2025 taxes paid in full)
- No bankruptcy proceedings identified
- Standard easements already documented
- Property has clear chain of title prior to current transaction
- Loan structure and amounts properly documented

2. PROPERTY INFORMATION

Field	Details

Address	675 Bunker Hill Road, Columbia, MS 39429-7832
County	Marion County, Mississippi
Parcel Number	074-04-000-04-005
Total Acreage	88.00 acres
Legal Description	Multiple parcels: NE1/4 of SE1/4 Section 4; SE1/4 of NE1/4 Section 4 (less 2 acres); 13.98 acres in NE1/4 of NE1/4 Section 4, TSN, R18W
Estate Type	Fee Simple
Assessed Value	\$9,030.00
Land Value	\$26,180.00
Improvements Value	\$34,010.00
Total Value	\$60,190.00

3. PARTIES TO TRANSACTION

Primary Parties

Party	Role	Status
Kyla B. Fortenberry	Proposed Insured - Owner/Buyer	? Identified
Society Mortgage	Proposed Insured - Lender	? Identified
Garner Tree Farm, LLC	Current Vested Owner	? Discrepancy
Terri G. Crawley	Seller	? Discrepancy
Christopher Lane Thornhill	Grantee in Recorded Deed	? INCORRECT
Sara E. Jackson	Grantee in Recorded Deed	? INCORRECT

LLC Membership Structure

Garner Tree Farm, LLC (Mississippi Limited Liability Company) has four identified members:

- Ricky Lane McPhail
- Terri Garner Crawley
- Patsy Garner Brewton
- Karen Garner Delancey

Note: Terri G. Crawley (seller) appears to be member "Terri Garner Crawley" based on name similarity, but this requires explicit confirmation.

Insurance Parties

Policy Type	Proposed Insured	Amount	Estate
Owner's Policy	Kyla B. Fortenberry	\$80,000.00	Fee Simple
Loan Policy	Society Mortgage	\$80,808.00	Fee Simple

4. REQUIREMENTS STATUS

Summary Table

Req #	Requirement	Status	Priority	Notes
1	Vested Owner/Seller Discrepancy Explanation	? OPEN	HIGH	LLC authorization documentation required
2	Verify Open Deed of Trust	? CLEARED	ROUTINE	No open deed of trust found in Marion County records
3	Bankruptcy Search	? CLEARED	ROUTINE	No proceedings found for any party
4	Record Corrected Deed to Kyla B. Fortenberry	? CRITICAL	BLOCKING	MUST BE RESOLVED BEFORE CLOSING
5	Record Deed of Trust	? PENDING	ROUTINE	Awaiting Requirement 4 resolution
6	LLC Documentation & Compliance	? OPEN	HIGH	Operating agreement, good standing cert, member resolution required

Detailed Requirement Analysis

Requirement 1: Vested Owner vs. Seller Discrepancy ? HIGH PRIORITY

Status: OPEN - Requires Documentation

Issue: Title commitment shows Garner Tree Farm, LLC as vested owner, but Terri G. Crawley is listed as seller. This fundamental discrepancy must be explained and documented.

Required Actions:

- Obtain written explanation from seller/LLC regarding authorization to sell
- Confirm Terri G. Crawley's authority to represent Garner Tree Farm, LLC
- Verify member identity (Terri Garner Crawley vs. Terri G. Crawley)

Timeline: Must be resolved concurrently with Requirement 6

Requirement 2: Verify Open Deed of Trust ? CLEARED

Status: SATISFIED

Finding: No open deed of trust found in Marion County records. Verification by escrow personnel and proposed insured confirms no outstanding liens against the property.

Action: No further action required.

Requirement 3: Bankruptcy Search ? CLEARED

Status: SATISFIED

Finding: No bankruptcy proceedings identified for:

- Garner Tree Farm, LLC
- Terri G. Crawley
- Kyla B. Fortenberry

Action: No further action required.

Requirement 4: Record Corrected Deed to Kyla B. Fortenberry ? CRITICAL BLOCKING ISSUE

Status: NOT SATISFIED - TRANSACTION CANNOT CLOSE WITHOUT RESOLUTION

Critical Defect:

The recorded deed (Instrument #20260174, recorded January 13, 2026) conveys the property FROM Garner Tree Farm, LLC TO Christopher Lane Thornhill and Sara E. Jackson. This is NOT the required conveyance to Kyla B. Fortenberry.

Impact:

- Owner's policy cannot be issued to Kyla B. Fortenberry
- Title does not vest in proposed buyer
- Transaction cannot close
- Loan cannot be funded

Root Cause Analysis:

This appears to be either:

1. A clerical error in deed preparation/recording
2. A fraudulent or unauthorized conveyance
3. A transaction involving different parties than documented in commitment

Required Resolution:

A new, corrected deed must be prepared and recorded immediately that:

- Names Garner Tree Farm, LLC as grantor
- Names Kyla B. Fortenberry as sole grantee
- Contains identical legal description and mineral reservation language
- Is properly executed by authorized LLC representative(s)
- Is recorded in Marion County records before closing

Estimated Timeline: 3-5 business days for preparation and recording

Requirement 5: Record Deed of Trust ? PENDING

Status: PENDING - Awaiting Requirement 4 Resolution

Requirement Details:

- Trustor: Kyla B. Fortenberry
- Beneficiary: Society Mortgage, its successors and/or assigns
- Original Principal Balance: \$80,808.00

- Loan ID: MS-26-1226

Status: This requirement is routine and will clear quickly once Requirement 4 is satisfied and title vests in Kyla B. Fortenberry.

Action: Hold for execution pending deed recording.

Requirement 6: LLC Documentation & Compliance ? HIGH PRIORITY

Status: OPEN - Documentation Required

Required Submissions:

1. Operating Agreement

- Copy of current operating agreement and all amendments
- OR certification that no operating agreement exists

2. Good Standing Certificate

- Evidence that Garner Tree Farm, LLC is in good standing with Mississippi Secretary of State
- Must be current (dated within 30 days of closing)

3. Member Resolution

- Resolution signed by ALL FOUR MEMBERS authorizing:
- Sale of property to Kyla B. Fortenberry
- Execution of deed by designated representative(s)
- Specific authorization for Terri G. Crawley (if applicable) to act as agent

4. Additional Requirements

- Identification of authorized signatory/representative
- Confirmation of member voting requirements
- Any other requirements identified upon document review

Members Requiring Authorization:

- Ricky Lane McPhail
- Terri Garner Crawley
- Patsy Garner Brewton
- Karen Garner Delancey

Timeline: 5-7 business days for document collection and review

5. EXCEPTIONS ANALYSIS

Overview

The commitment contains 12 exceptions to coverage. Two exceptions require consolidation; others are standard or

acceptable.

Exception Summary Table

#	Exception	Type	Status	Risk Level
1	Mineral Reservations	Substantive	? REVIEW	HIGH
2	Defects After Commitment Date	Standard	? STANDARD	LOW
3	Survey Exceptions	Standard	? STANDARD	LOW
4	Rights of Parties in Possession	Standard	? STANDARD	LOW
5	Mechanics' & Contractors' Liens	Standard	? STANDARD	LOW
6	Changes in Title After Commitment	Standard	? STANDARD	LOW
7	Taxes and Special Assessments	Standard	? STANDARD	LOW
8	Oil, Gas, Coal & Mineral Interests	Substantive	? REVIEW	HIGH
9	VYVX, Inc. Easement	Easement	? ACCEPTABLE	MEDIUM
10	Bunker Hill Water Association Easement (2009)	Easement	? ACCEPTABLE	MEDIUM
11	Bunker Hill Water Association Easement (2023)	Easement	? ACCEPTABLE	MEDIUM
12	Taxes and Assessments	Tax Status	? CLEAR	LOW

Detailed Exception Analysis

Exceptions 1 & 8: Mineral Reservations and Oil/Gas Interests ? HIGH PRIORITY - DUPLICATE LANGUAGE

Exception 1 Language:

> "Any prior reservation or conveyance of minerals of every kind and character, including oil, gas, sand and gravel in, on and under the Land"

Exception 8 Language:

> "Oil, gas, coal and other mineral interests together with the rights appurtenant thereto whether created by deed, lease, grant, reservation, severance, sufferance or exception"

Issue: These exceptions substantially overlap and create ambiguity regarding:

- Which minerals are actually reserved
- Scope of mineral rights retained by prior owners
- Potential conflicts in exception language

Warranty Deed Confirmation:

The warranty deed (page 27) explicitly states:

> "LESS AND EXCEPT all oil, gas, and other minerals in, on, and under all of the lands herein conveyed"

Clarification Required:

1. Consolidate Exceptions 1 and 8 into single, unified exception language
2. Confirm that minerals are severed from the property and retained by prior owner(s)
3. Identify specific prior mineral reservations/conveyances if any exist in chain of title
4. Clarify whether sand and gravel are included in severance

Recommended Final Exception Language:

> "Minerals (including oil, gas, coal, sand, and gravel) in, on, and under the property, which are reserved to and retained by the prior owner(s) as set forth in the warranty deed recorded [date/instrument number]."

Impact on Buyer: Buyer acquires property without mineral rights. This is acceptable if buyer is aware and consents.

Timeline: Consolidation should occur before final policy issuance (routine).

Exception 9: VYVX, Inc. Easement ? ACCEPTABLE

Status: ACCEPTABLE - Standard Utility Easement

Details:

- Grantee: VYVX, Inc.
- Grantor: Betty Carolyn G. McPhail
- Date: March 31, 1997
- Recorded: June 9, 1997
- Reference: Book 1224, Page 57, Marion County records
- Type: Right of Way and Easement Agreement

Assessment: Standard utility easement. No impact on title or insurability. Acceptable exception.

Exception 10: Bunker Hill Water Association Easement (2009) ? ACCEPTABLE

Status: ACCEPTABLE - Water Utility Easement

Details:

- Grantee: Bunker Hill Water Association
- Grantor: Garner Tree Farm, LLC
- Date: August 19, 2009
- Recorded: July 21, 2010
- Reference: Instrument No. 201002482, Book 1638, Page 98
- Type: Water Line Easement

Assessment: Standard water utility easement granted by current owner. No title defect. Acceptable exception.

Exception 11: Bunker Hill Water Association Easement (2023) ? ACCEPTABLE

Status: ACCEPTABLE - Water Utility Easement (Recent)

Details:

- Grantee: Bunker Hill Water Association
- Grantor: Garner Tree Farm, LLC
- Date: April 6, 2023
- Recorded: April 10, 2023

- Reference: Instrument No. 20230965, Book 2023, Page 965
- Type: Deed of Easement

Assessment: Recent water easement granted by current owner. Likely renewal or amendment of 2009 easement. No title defect. Acceptable exception.

Note: Two water easements to same entity may indicate easement renewal/amendment. Confirm with Bunker Hill Water Association if consolidation is possible.

Exception 12: Taxes and Assessments ? CLEAR

Status: SATISFIED - No Tax Delinquency

Tax Status:

- Parcel: 074-04-000-04-005
- 2025 1st Installment: \$1,132.52 PAID
- Delinquent Amount: \$0.00
- Assessed Land Value: \$9,030.00
- Assessed Building Value: \$0.00
- Total Assessed Value: \$9,030.00

Assessment: Property taxes current. No delinquencies. Acceptable exception.

6. RISK FLAGS ASSESSMENT

Risk Flag Summary

Flag	Severity	Status	Impact	Resolution
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Requirement 4 - Wrong Grantee	CRITICAL	OPEN	BLOCKING	Corrected deed must be recorded
Mineral Reservations Duplication	HIGH	OPEN	Policy Language	Consolidate exceptions before issuance
Vested Owner vs. Seller Discrepancy	MEDIUM	OPEN	Title Chain	LLC authorization documentation

CRITICAL FLAG: Requirement 4 Not Satisfied - Wrong Grantee in Recorded Deed

Severity: ? CRITICAL - TRANSACTION BLOCKING

Flag Details:

- Requirement: Record deed from Garner Tree Farm, LLC to Kyla B. Fortenberry
- Actual Recording: Deed recorded 01/13/2026 (Instrument #20260174) conveys property to Christopher Lane Thornhill and Sara E. Jackson

- Status: OPEN - Not satisfied
- Impact: Complete failure to satisfy closing requirement

Risk Analysis:

| Risk Factor | Assessment |

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| Title Vesting | Title does NOT vest in Kyla B. Fortenberry; vests in Thorn